

WHAT'S NEXT JAN VISHWAS 2.0

**Coordinating
Ministry:** DPIIT

Scope:
100+ more laws identified
for decriminalisation

Focus Sectors:
Chemicals, electronics,
construction, heavy
industries, BFSI

Tools Planned:
AI-based compliance,
tech-driven enforcement,
quicker adjudication



**“With Railways
opening to
private players
in freight and
infrastructure,
Jan Vishwas helps
build investor
confidence by
ensuring that
minor lapses don’t
result in criminal
charges”**

VIVEK MISHRA

Member, Advisory Board,
All India Rail Safety
Council

the Impact and Policy Research Institute (IMPRI), the aim is to replace imprisonment with monetary penalties in cases where no mala fide intent is involved. “The objective is not to dilute deterrents but promote business confidence,” Sitharaman said during a post-Budget webinar earlier this year. “An environment where law-abiding citizens and entrepreneurs are not penalised for inadvertent, procedural lapses will lead to more formalisation and compliance.” Experts argue this approach is better suited for a fast-growing economy like India where compliance demands have grown but regulatory systems haven’t always kept pace.

HARASSMENT TO CLARITY

Pinky Anand, former Additional Solicitor General of India, sees this as a constitutional correction. “This Act sends a strong message that compliance should be encouraged through collaboration, not coercion,” she says. “Even minor technical lapses in economic offences attracted criminal penalties. That needed to change.” According to her, the Jan Vishwas framework shifts the burden of justification to the state. “The traditional approach presumed guilt. This new system aligns with Article 21, ensuring restrictions on liberty are reasonable and proportionate,” she says. However, she warns that enforcement agencies and lower courts must interpret the law in the spirit it was drafted—moving from policing to facilitation. This means rethinking how officers are trained, evaluated, and incentivised. She also advocates regulatory impact assessments, justification memos for criminal provisions, and a Standing Committee on Economic Offences to ensure transparency and checks.

PATH TOWARDS PROPORTIONALITY

The Jan Vishwas reform is not happening in isolation. According to the government, over 42,000 compliances have been removed, and 3,700 provisions decriminalised, since 2014. But Jan Vishwas marks the first time this clean-up has taken the shape of a comprehensive legislative framework with sectoral input and parliamentary scrutiny. The Joint Parliamentary Committee that reviewed the 2023 Act has recommended a continuous, rolling review of India’s laws for relevance and proportionality. “The law is passed, but mindsets still need to shift. Without that, the real promise of Jan Vishwas will remain unfulfilled,” says Anand.

The IMPRI report echoes this, warning against blanket decriminalisation, especially in sensitive areas like food safety, public health, and environmental regulation. “There is a risk that large corporations could absorb civil penalties as a cost of doing business. That’s why we must ensure decriminalisation doesn’t translate into deregulation,” it notes.

TRUST-BASED REGIME

Healthcare, pharmaceutical and diagnostic sectors see regulatory changes after the Jan Vishwas Act is implemented. The law replaces criminal penalties with fines for minor offences under 42 central laws, including Drugs and Cosmetics Act, Environment Protection Act and Consumer Protection Act. Stakeholders say this could reduce legal exposure for businesses, particularly for administrative lapses.

Biplab Lenin and Priyam Rajkumar of Cyril Amarchand Mangaldas highlight how the legislation significantly reforms the Drugs and Cosmetics Act. For instance,